

TABLE II.—OTHER RATIOS FOR PARTICULAR GROUPS²**Auto Tires, Meat Packing, Non-Ferrous Metal Fabricators**

Net working capital excluding inventories to fixed debt—100% or more.

Department Stores

Inventory turnover—eight times a year or more.

Grocery Chains

Inventory turnover—12 times a year or more. Current assets excluding inventories to current liabilities—100% or more. (This ratio is suggested for grocery chains instead of the ratio of cash and equivalent to current liabilities used for all other industrial groups.)

Printing and Publishing

Fixed debt to net property plus good-will—50% or less(a). Index of circulation—trend (1929 = 100) should be as favorable as that of the national average(b).

[(a) In using the item of good-will, press membership, circulation, franchises, advertising patronage, etc., as a factor of asset protection for bonds, it is essential to determine the reasonableness of the stated figures. As a rough guide, a representative group of newspaper companies evaluate their "good-will" on a basis of around \$30,000 per 1,000 circulation. (b) Index of national average: 1929—100; 1930—100.4; 1931—98.2; 1932—92.3; 1933—89.1; 1934—93.0; 1935—96.8; 1936—102.0; 1937—104.8; and 1938—100.3.]

Public Utilities

Depreciation and maintenance to operating revenues—15% for steam-electric operating companies, 13% for hydro-electric operating companies, 12% for water companies, 25% for telephone companies. Net operating income to net property—around 7% for all groups. Net property to operating revenues, and operating expenses to operating revenues—in the case of hydro-electric operating companies it is important that these ratios should be considered together but no standards can be set because each situation must be appraised in the light of its own territorial problems. Operating revenues per telephone station—\$50 or more.

Railroads

Coverage of fixed charges from railway operations, average for last six years—two times or more. Net working capital (including government obligations with current assets and accrued taxes with current liabilities) to fixed charges—200% or more. Maintenance of way and structure plus maintenance of equipment (including depreciation) to gross revenues—25% or more during past several years. Transportation expense to gross revenues—steady or declining trend. Gross ton miles per freight train hour—steadily upward trend. Fixed debt to market value of total capitalization (taking bonds at par, preferred stock at the lower of par or market, and common stock at market; year-end prices)—not over 50% (See text.)

² Tables I and II are reproduced from the December 4, 1939 issue of *Barron's, The National Financial Weekly*.